

Meaningful Investment Checker

Rulebook v2 — System Design Document

HKEX Chapter 18C / Guide Chapter 2.5, Paras 16–34

DRAFT · April 2026

1. Overview and Improvements from v1

Rulebook v2 is a comprehensive redesign addressing four structural deficiencies: (1) incomplete rule coverage; (2) absence of consistency and language quality checks; (3) inconsistent categorisation; and (4) limited reusability across different company fact patterns.

1.1 Key Changes

- Module 0 (Pre-Conditions).** A new foundational module establishes the applicant's status — Specialist Technology Company, Commercial or Pre-Commercial, and market cap tier — before any downstream threshold check is run.
- Four-Type Check Taxonomy.** Nine overlapping "Type" values are replaced by a clean taxonomy: [D] Disclosure, [T] Threshold, [K] Consistency, and [L] Language Quality, supplemented by [R] Reasoning. Every rule carries at least one check of each applicable type.
- Consistency Checks in Every Module.** In v1, cross-section consistency checking was limited to rules A3 and A4. In v2, every module includes dedicated consistency checks specifying which other prospectus sections must be cross-referenced.
- Language Quality Checks.** A new [L] check type operationalises the Guide's fair presentation requirements (Chapter 3): disclosure must fairly present relevant, material and specific information; use plain language; and be accurate, complete, and non-misleading. Language checks flag hedging formulations, bare conclusory assertions, vague date references, and inconsistent use of defined terms.
- Trigger / Applicability Column.** Conditional modules (F, G, H, I) and conditional rules within modules carry an explicit trigger condition. The system evaluates the trigger before running the rule and marks rules Not Applicable where the trigger is not met, eliminating false-positive flags.
- Parameterised Thresholds.** All quantitative thresholds are extracted from rule text into a standalone Parameters Table (Section 2). Rules reference parameters by name. When HKEX amends a threshold, only the Parameters Table requires updating.
- Disaggregated Compound Rules.** Rules bundling multiple distinct checks with different severity levels have been split: D1 into D1a (count) and D1b (timing); H2 into H2a (undertaking), H2b (SII Placee sophistication), and H2c (advance submission for para 21(iv) SII Placees).

1.2 Check Type Key

[D]	DISCLOSURE — Is the required item present and specific enough to be meaningful? Fails on "absent" or "insufficient" (present but too vague to evaluate).
[T]	THRESHOLD — Does the disclosed figure meet a quantitative requirement (referenced by parameter name)? Requires a prior [D] check to have passed.
[K]	CONSISTENCY — Does the disclosed information match the equivalent data in other specified sections? Runs regardless of whether the primary disclosure is adequate.
[L]	LANGUAGE QUALITY — Is the disclosure fairly presented, in plain language, accurate, complete, and not misleading? Flags hedging, generic assertions, vague dates, and inconsistent defined terms.
[R]	REASONING — Does the disclosed evidence logically support the claimed conclusion? Used where the system must assess evidential sufficiency, not just presence or value.

1.3 Severity Level Key

Critical	Probable material non-compliance or disclosure so inadequate that the Meaningful Investment requirement cannot be assessed. Escalate for senior review before submission.
High	Significant gap or inconsistency likely to attract HKEX comment. Review and address before submission; may not indicate non-compliance if resolved by context elsewhere.
Medium	Presentation or completeness issue falling short of best practice. Advisory — review by responsible lawyer recommended.

2. Parameters Table

All quantitative thresholds are maintained here and referenced by parameter name in the module rules. To update a threshold following a regulatory amendment, change the value in this table only — no individual rule text needs to be modified.

Parameter	Value	Source	Description
PARAM_B2_AUM_MIN	HK\$15bn	Para 21(i)	Min AUM for asset management firm to qualify as sophisticated investor.
PARAM_B2_FUND_MIN	HK\$15bn	Para 21(i)	Min fund size for a fund to qualify as sophisticated investor.
PARAM_B3_PORT_MIN	HK\$15bn	Para 21(ii)	Min diverse investment portfolio size (excluding consolidated subsidiaries).
PARAM_B4_TECH_MIN	HK\$5bn	Para 21(iii)	Min AUM/fund/portfolio primarily derived from Specialist Technology investments.
PARAM_C2_REF_MONTHS	6 months	Para 25(i)	Max age of SII disclosure figures relative to signing of definitive agreement.
PARAM_C3_REF_MONTHS	6 months	Para 25(ii)	Max age of SII disclosure figures relative to listing application date.
PARAM_D_COUNT_MIN	2	Para 26(i)	Minimum number of Pathfinder SIIs.
PARAM_D_COUNT_MAX	5	Para 26(i)	Maximum number of Pathfinder SIIs.
PARAM_D_HOLD_MONTHS	12 months	Para 26(i)	Min investment period before listing application date (measured to irrevocable settlement).
PARAM_D2_AGG_PCT	10%	Para 26(i)(a)	Aggregate Pathfinder SII shareholding threshold (% of issued share capital).
PARAM_D2_AGG_AMT	HK\$1.5bn	Para 26(i)(a)	Aggregate Pathfinder SII investment amount threshold (excludes subsequent divestments).
PARAM_D3_IND_PCT	3%	Para 26(i)(b)	Individual Pathfinder SII shareholding threshold (% of issued share capital).
PARAM_D3_IND_AMT	HK\$450m	Para 26(i)(b)	Individual Pathfinder SII investment amount threshold (excludes subsequent divestments).
PARAM_E_COMM_LOW	20%	Para 26(ii)	Aggregate SII: Commercial Company, market cap < HK\$15bn.
PARAM_E_PRECOMM_LOW	25%	Para 26(ii)	Aggregate SII: Pre-Commercial Company, market cap < HK\$15bn.
PARAM_E_COMM_MID	15%	Para 26(ii)	Aggregate SII: Commercial Company, market cap HK\$15–30bn.
PARAM_E_PRECOMM_MID	20%	Para 26(ii)	Aggregate SII: Pre-Commercial Company, market cap HK\$15–30bn.
PARAM_E_COMM_HIGH	10%	Para 26(ii)	Aggregate SII: Commercial Company, market cap ≥ HK\$30bn.
PARAM_E_PRECOMM_HIGH	15%	Para 26(ii)	Aggregate SII: Pre-Commercial Company, market cap ≥ HK\$30bn.

Parameter	Value	Source	Description
PARAM_COMM_REV_MIN	HK\$250m	MB 18C.03(4)	Min audited revenue (most recent FY) for Commercial Company classification.
PARAM_MKTCAP_COMM_MIN	HK\$6bn	MB 18C.03(3)	Min market cap: Commercial Company (as modified from 1 Sep 2024).
PARAM_MKTCAP_PRECOMM_MIN	HK\$10bn	MB 18C.03(3)	Min market cap: Pre-Commercial Company (as modified from 1 Sep 2024).

3. Rulebook v2 — Module Rules

Module 0 must be resolved first as its outputs drive threshold selection in later modules. Modules A–E apply to all Chapter 18C applicants. Modules F, G, H, and I apply only where the trigger condition is met.

Module 0 — Pre-Conditions and Company Classification

Module 0: Pre-Conditions and Company Classification — Resolve before running Modules A–I. Outputs drive threshold selection downstream.			
ID	Source / Trigger	Rule Statement & System Checks	Sev
P1	MB Rule 18C.01	The applicant must be a Specialist Technology Company primarily engaged (directly or through subsidiaries) in the R&D of, and the commercialization and/or sales of, Specialist Technology Products within an acceptable sector of a Specialist Technology Industry (MB Rule 18C.01). Guide Chapter 2.5, para 2 lists the Specialist Technology Industries and non-exhaustive acceptable sectors (may be updated after SFC consultation). Applicants outside listed sectors must submit a pre-IPO enquiry before applying (para 4). Where an applicant has multiple business segments, the Exchange applies a holistic “primarily engaged” test (para 8). [D] Confirms applicant is a Specialist Technology Company and identifies the specific Specialist Technology Industry and acceptable sector. The system checks the stated industry/sector against the five industries defined in Guide Chapter 2.5, para 2 (reproduced below for reference). Flags if the prospectus names an industry or sector not listed and does not disclose a pre-IPO enquiry outcome under para 4. Industry reference — Guide Chapter 2.5, para 2 (non-exhaustive acceptable sectors shown for each industry) (i) Next-generation information technology Software, platform and infrastructure solutions powered by cloud computing and big data analytics. Acceptable sectors: Cloud-based services (SaaS, PaaS, IaaS); Artificial intelligence (AI infrastructure, algorithm programming, AI solutions). (ii) Advanced hardware and software Development of new hardware and software using advanced technology. Acceptable sectors: Robotics and automation (robots, IoT, smart home/product design); Semiconductors (design, fabrication, advanced packaging, production inputs); Advanced communication technology (5G/beyond, satellite communications); Electric and autonomous vehicles (BEVs, self-driving systems, location technology); Advanced transportation technology (new modes of transport, drones, intelligent transport systems); Aerospace technology (spacecraft, space exploration, defence capabilities); Advanced manufacturing (additive/3D printing, digitalised manufacturing); Quantum information technology and computing (quantum computing, communication, precision measurement); Metaverse technology (VR, AR, brain-computer interfaces). (iii) Advanced materials Production or integration of new or significantly improved materials to enhance the performance of traditional materials. Acceptable sectors: Synthetic biological materials (biopolymers, fibres, optical materials, adhesives); Advanced inorganic materials (special glass, special metals/alloys, special ceramics); Advanced composite materials (high-performance composites, carbon matrix, advanced polymers); Nanomaterials (nanotechnology products, nanoscale measurement/manipulation equipment). (iv) New energy and environmental protection Production of energy from natural sources and development of networks and infrastructure supporting such production, and processes for improving environmental sustainability and energy efficiency. Acceptable sectors: New energy generation (solar, wind, hydropower, hydrogen, wave, biofuel); New energy storage and transmission technology (battery technologies, long-duration energy storage, power grid management, smart grid development); New green technology (environmental remediation — soil washing, vapour extraction, thermal desorption; emissions reduction — hydrogen, carbon capture and storage). (v) New food and agriculture technologies Food and agriculture technologies applied to agriculture, farming and food processing activities.	Critical

		Acceptable sectors: New food technology (cultured/plant-based meat, sustainable protein, synthetic biology in food, food waste reduction); New agriculture technology (agricultural biotechnology, crop efficiency, agricultural synthetic biology, farming technology — hydroponic, vertical farming, insect farming, microbe growing systems). [K] Verifies the industry classification is used consistently across Business Overview, Risk Factors, Use of Proceeds, and any regulatory or licensing disclosures. Flags any section using a different characterisation. [L] Checks the technology description is specific enough to map to a defined Industry. Flags vague descriptors ("an innovative technology company") that do not enable classification assessment.	
P2	<i>MB Rule 18C.03(4); 18C.01</i>	Determine whether the applicant is a Commercial Company or Pre-Commercial Company. Commercial status requires audited revenue $\geq$ PARAM_COMM_REV_MIN for the most recent FY. [D] Confirms the prospectus expressly states Commercial or Pre-Commercial status. Confirms the audited revenue figure and the relevant FY period are disclosed. [T] Verifies disclosed revenue meets or fails PARAM_COMM_REV_MIN (HK\$250m). Confirms the correct classification is applied consistently with that revenue figure. [K] Checks Commercial/Pre-Commercial classification is used consistently: SII section, threshold tables, and financial information. Flags any section where the revenue profile is characterized differently. [L] Checks the classification is stated plainly — not buried in defined-term cross-references. Verifies the determinative FY is identified explicitly.	Critical
P3	<i>MB Rule 18C.03(3); Para 10</i>	Determine the applicable market cap tier for the para 26(ii) aggregate SII threshold table. [D] Confirms an expected market cap at listing is disclosed as a specific figure or clearly stated range. [T] Identifies the applicable para 26(ii) tier. Flags if the market cap falls near a tier boundary without discussion of re-tiering risk. Confirms the minimum meets PARAM_MKTCAP_COMM_MIN or PARAM_MKTCAP_PRECOMM_MIN. [K] Verifies the market cap used for tier selection is consistent with valuation implied by pre-IPO investment pricing, projections, and the Listing Statistics section. [L] If temporary modifications from 1 Sep 2024 (para 10) apply, checks the prospectus identifies and applies the modified thresholds in plain terms. Flags use of pre-modification figures without acknowledgment.	Critical

Module A — Independence of Sophisticated Investors

Module A: Independence of Sophisticated Investors — Paras 17–19			
ID	Source / Trigger	Rule Statement & System Checks	Sev
A1	Para 17	Independence is determined as at the date of signing of the definitive agreement and maintained up to listing. [D] For each SII: confirms the definitive agreement date is disclosed. Confirms independence as at that date and up to listing is stated per SII — not as a single generic statement covering all SIIs. [K] Verifies the definitive agreement date is consistent with investment dates in the History of the Group section and the pre-IPO investment table. Flags discrepancies across sections. [L] Checks the prospectus defines "independence" by reference to MB Rules, or flags bare assertions ("each SII is independent of the Company") without supporting particulars.	Critical
A2	Para 18(i)	Core connected persons are excluded from being SIIs, except a substantial shareholder that is a core connected person only because of shareholding size. [D] For each SII: confirms the prospectus states it is not a core connected person. If any SII is a substantial shareholder, confirms the size-exception basis is explained. [K] Cross-references each SII against: Directors and Senior Management section; Substantial Shareholders section; Connected Transactions section. Flags any entity appearing in both the SII list and any connected person disclosure. [L] If the substantial shareholder exception is invoked, checks the factual basis is explained in plain terms — not merely asserted conclusorily. Flags: "notwithstanding its substantial shareholding, Investor X is not a core connected person" without explanation.	Critical
A3	Para 18(ii)	Controlling shareholders, or persons within the group of controlling shareholders, are excluded from being SIIs. [D] Confirms all controlling shareholders are identified by name and entity. [K] Cross-references SII list against all controlling shareholder disclosures. Flags any entity or individual whose name, description, or group affiliation overlaps with the SII list. Also checks the cap table for any controlling shareholder-affiliated entity holding pre-IPO shares not disclosed in the SII section. [L] Where a controlling shareholder has invested through a related vehicle or fund, checks whether such vehicle is addressed. Flags group structures that could obscure an indirect relationship.	Critical
A4	Para 18(iii)	The founder and its close associates are excluded from being SIIs. [D] Confirms the founder and all close associates are identified. [K] Cross-references SII list against founder and close associate disclosures. Checks the History section for any founder–SII pre-IPO relationships not addressed in the SII section. Flags overlaps and silent inconsistencies. [L] Where any SII and the founder are described as having prior dealings elsewhere in the prospectus, checks the SII section addresses this and explains why independence is not affected.	Critical
A5	Para 19; Fn 7	Acting-in-concert arrangements with the founder or controlling shareholders normally disqualify. Prior business relationships require disclosure of mitigating factors (timing; operational involvement; commercial terms). [D] For each SII with a prior business relationship with the founder or CS: confirms disclosure of (i) timing and duration; (ii) nature of operational involvement; (iii) commercial terms of the relationship.	High

		[K] Checks for any SII described as having prior business relationships with the founder in the History section but characterised as "fully independent" in the SII section without explanation. Flags the inconsistency. [L] Flags independence assertions qualified by "save as disclosed" or "to the best of the Company's knowledge" without corresponding substantive disclosure of what is being saved.	
A6	<i>Fn 8</i> ■ Trigger <i>Applies only if any SII holds or is entitled to nominate a board representative.</i>	An SII with board representation is not a core connected person unless it is also a close associate of the relevant director. [D] Confirms board representation by any SII is disclosed. Confirms the prospectus states the SII is not a close associate of the relevant director. [K] Cross-references the SII nominee against Directors and Senior Management biographies and the close associate disclosure. Flags any description that is inconsistent between sections. [L] Checks the prospectus explains the basis for the no-close-associate conclusion. Flags bare negative assertions ("Investor X is not a close associate") without factual support.	High

Module B — Sophistication of Investors

Module B: Sophistication of Investors — Paras 20–24			
ID	Source / Trigger	Rule Statement & System Checks	Sev
B1	Para 20	Sophistication is assessed by relevant investment experience, knowledge, and expertise, demonstrated by net assets, AUM, investment portfolio size, or track record. [D] For each SII: confirms which para 21 basis (or para 23 / 24 alternative) is relied upon. Checks a distinct sophistication analysis is provided for each SII — not a single generic statement covering all. [K] Checks the identified basis is consistent with how the SII is described elsewhere. Flags if an SII is a "strategic partner" in the Business section but a "financial investor" for sophistication purposes. [L] Confirms each SII is identified by full legal name, jurisdiction of incorporation, and nature of business. Flags generic descriptions ("a Cayman Islands fund managed by a leading asset manager") that do not enable investor assessment.	Critical
B2	Para 21(i) Trigger <i>Applies only if para 21(i) AUM or fund size basis is stated.</i>	Asset management firm with AUM $\geq$ PARAM_B2_AUM_MIN, or a fund with fund size $\geq$ PARAM_B2_FUND_MIN. [D] Confirms AUM or fund size is disclosed as a specific monetary amount. Confirms the basis of determination is stated (audited NAV, fair value, GAAP/IFRS basis, share classes included). [T] Verifies the disclosed figure meets PARAM_B2_AUM_MIN / PARAM_B2_FUND_MIN (HK\$15bn). If stated in a currency other than HKD, checks the exchange rate and conversion date are disclosed. [K] Where the prospectus references the fund manager's publicly known AUM elsewhere (e.g., Business section), checks consistency with the para 25 disclosure. [L] Flags hedging formulations that obscure whether the threshold is precisely met — e.g., "in excess of approximately HK\$15 billion as at around the relevant date."	Critical
B3	Para 21(ii) Trigger <i>Applies only if para 21(ii) diverse portfolio basis is stated.</i>	Company with a diverse investment portfolio size $\geq$ PARAM_B3_PORT_MIN. [D] Confirms portfolio size is disclosed as a specific amount. Confirms the basis of determination is stated (accounting standard, mark-to-market or at cost, reference date). [T] Verifies the figure meets PARAM_B3_PORT_MIN (HK\$15bn). Flags if the para 22 exclusion of consolidated subsidiaries is not addressed. [R] Checks the prospectus explains in what sense the portfolio is "diverse." A portfolio concentrated in a single company or sector is not a diverse portfolio. Flags assertions of diversity without description of portfolio breadth. [L] Flags if valuation methodology is omitted or described in technical accounting language without plain-language explanation.	Critical
B4	Para 21(iii) Trigger <i>Applies only if para 21(iii) tech-focused portfolio basis is stated.</i>	Investor with AUM/fund/portfolio $\geq$ PARAM_B4_TECH_MIN where value is primarily derived from Specialist Technology investments. [D] Confirms the relevant figure (AUM/fund/portfolio) is disclosed. Confirms the breakdown showing Specialist Technology investments constitute the majority of value is provided. [T] Verifies the figure meets PARAM_B4_TECH_MIN (HK\$5bn). Checks the "primarily derived" element is substantiated — a specific percentage or proportion must be given. [R] Confirms "Specialist Technology investments" is defined consistently with MB Rule 18C.01. Flags if the investor's holdings span industries outside the six defined Specialist Technology Industries. [L] Flags loose use of "Specialist Technology" that inflates the apparent qualifying portfolio.	Critical

B5	<i>Para 21(iv)</i> ■ Trigger <i>Applies only if para 21(iv) key industry participant basis is stated.</i>	Key participant in a relevant upstream/downstream industry with meaningful market share and size, supported by independent market or operational data. [D] Confirms the SII's upstream/downstream industry relationship is described. Confirms independent market or operational data is provided to substantiate market share and size. [R] Assesses whether the independent data actually supports meaningful market share. Checks the data source is identified, current, and methodologically credible. Flags data from commissioned reports without independent corroboration. [K] Verifies the industry relationship is described consistently between the SII section and the Business section. Flags inconsistencies between how the SII is characterised as an investor vs. as a customer, supplier, or partner. [L] Flags market share claims based on narrowly defined markets that inflate apparent share. Checks context is provided per the Guide's market definition guidance.	High
B6	<i>Para 22</i> ■ Trigger <i>Applies only if para 21(ii) or 21(iii) portfolio basis is relied upon.</i>	"Investment portfolio" means aggregate value of investments in investee companies. Consolidated subsidiaries are excluded. The Exchange may consider other measures of investment values that may not be reflected in the investor's financial statements. [D] Checks the prospectus expressly confirms consolidated subsidiaries are excluded from the portfolio calculation. [L] Flags if the exclusion is merely implied rather than stated, particularly where the investor's corporate structure suggests it may have consolidated subsidiaries.	Medium
B7	<i>Para 23</i> ■ Trigger <i>Applies only if any SII relies on a parent entity's or fund manager's qualification.</i>	A fund managed by a qualifying fund manager, or a wholly-owned subsidiary of a qualifying entity, itself qualifies as a sophisticated investor. [D] Confirms the parent/manager entity is identified by name. Confirms its qualifying AUM/portfolio figure is disclosed to the same standard as rules B2/B3. [T] Verifies the parent/manager's figure meets the applicable PARAM threshold. [K] Checks the ownership/management relationship is described consistently between the SII section and any corporate structure chart or shareholder disclosure. [L] Flags ambiguity as to which limb of para 23 is being relied upon (fund managed by vs. wholly-owned subsidiary of).	High
B8	<i>Para 24</i> ■ Trigger <i>Applies only if any SII's sophistication is not claimed under para 21 or para 23.</i>	HKEX may accept investors outside para 21 examples on a case-by-case basis. Applicant must demonstrate relevant experience, knowledge, and expertise. [D] Confirms a specific alternative justification is provided for each such SII, setting out the experience, knowledge, and expertise relied upon. [R] Checks the justification is substantiated by concrete evidence — named prior investments, quantified track record, identified industry credentials. Flags generic assertions without supporting particulars. [L] Confirms the prospectus makes clear this is a case-by-case claim.	High

Module C — SII Disclosure Requirements

Module C: SII Disclosure Requirements — Para 25 — Required disclosure items and reference date compliance			
ID	Source / Trigger	Rule Statement & System Checks	Sev
C1	Para 25	Must disclose size (and basis for determination) of AUM, fund size, or investment portfolio, and any other information relevant to substantiating sophistication. [D] For each SII: confirms the relevant figure is disclosed as a specific monetary amount. Confirms the basis for determination is stated (accounting standard, whether audited, how fair value was assessed, which assets are included). [K] Verifies the para 25 figure is consistent with the sophistication threshold claim in Module B. The same figure must serve both purposes. Flags if different figures appear in different parts of the same section. [L] Checks the determination basis is described in plain language. Flags "in excess of approximately" formulations that do not confirm the threshold is met.	Critical
C2	Para 25(i)	Information must be as of a reference date no more than PARAM_C2_REF_MONTHS before the date of signing of the definitive agreement. [D] For each SII: confirms the first reference date is stated as a specific calendar date. [T] Verifies the reference date is within PARAM_C2_REF_MONTHS (6 months) of the definitive agreement date. Computes the interval from disclosed dates. Flags if the interval exceeds 6 months or cannot be verified. [K] Confirms the definitive agreement date used as anchor here is consistent with the date disclosed under A1. Flags any discrepancy. [L] Flags all vague date descriptions — e.g., "as of approximately the date of the investment."	Critical
C3	Para 25(ii)	Information must also be given as of a reference date no more than PARAM_C3_REF_MONTHS before the listing application date. [D] For each SII: confirms a second set of figures is provided. Confirms the second reference date is stated as a specific calendar date. [T] Verifies the second reference date is within PARAM_C3_REF_MONTHS (6 months) of the listing application date. Flags if the interval exceeds 6 months or cannot be verified. [K] If the second-date figure differs materially from the first, checks the change is explained. Verifies the listing application date anchor is consistent with the Listing Information section. [L] Flags all vague second-date descriptions. If the second figure has decreased materially, checks whether the prospectus addresses the implications for the sophistication threshold.	Critical
C4	Para 25 proviso ■ Trigger Applies only if any SII invokes the confidentiality carve-out in lieu of full para 25 disclosure.	Where detailed disclosure cannot be made for confidentiality reasons, HKEX may accept alternative disclosures on a case-by-case basis. [D] Confirms the prospectus explains the specific reason for non-disclosure. Confirms the nature and extent of the alternative disclosure is described. [R] Assesses whether the alternative disclosure provides sufficient information for an investor to assess the SII's sophistication. A confidentiality carve-out does not exempt the applicant from substantiating sophistication. [L] Flags vague confidentiality rationales. Flags if the carve-out is combined with other vague language such that no useful information about the SII is provided.	High

Module D — Pathfinder SII Requirements

Module D: Pathfinder SII Requirements — Para 26(i) — Number, timing, aggregate holding, and individual holding			
ID	Source / Trigger	Rule Statement & System Checks	Sev
D1a	Para 26(i)	Must have between PARAM_D_COUNT_MIN and PARAM_D_COUNT_MAX Pathfinder SIIs. [D] Confirms each Pathfinder SII is identified by name and the total count is stated. [T] Verifies count is between PARAM_D_COUNT_MIN (2) and PARAM_D_COUNT_MAX (5). Flags any count outside this range. [K] Checks the same set of Pathfinder SIIs is identified consistently across the SII section, pre-IPO investment table, and cap table. Flags any entity appearing in one list but not another. [L] Checks "Pathfinder SII" and "SII" are clearly distinguished from each other and from cornerstone investors, strategic investors, and pre-IPO investors. Flags interchangeable or undefined use.	Critical
D1b	Para 26(i); Para 30	Each Pathfinder SII must have invested at least PARAM_D_HOLD_MONTHS before the listing application date. Investment date = irrevocable settlement date. [D] For each Pathfinder SII: confirms the investment date is disclosed as a specific calendar date, stated by reference to irrevocable settlement (not signing of subscription agreement or announcement). [T] Verifies the period from investment date to listing application date is at least PARAM_D_HOLD_MONTHS (12 months) for each Pathfinder SII. [K] Verifies the investment date is consistent across: SII section; pre-IPO investment section; History of the Group; cap table. Flags any discrepancy in stated dates for the same SII. [L] Flags non-specific date descriptions (e.g., "Series B, early 2023"). Timing requirements cannot be verified from vague dates. Flags dates expressed by reference to signing or announcement rather than irrevocable settlement.	Critical
D2	Para 26(i)(a)	Pathfinder SIIs in aggregate must hold $\geq$ PARAM_D2_AGG_PCT of issued share capital (at listing application date and throughout the pre-application 12 months), OR have invested aggregate $\geq$ PARAM_D2_AGG_AMT excluding subsequent divestments. [D] Confirms aggregate Pathfinder SII shareholding % or investment amount is disclosed. Confirms which alternative (% holding or HK\$ amount) is relied upon. [T] Verifies the aggregate meets PARAM_D2_AGG_PCT (10%) or PARAM_D2_AGG_AMT (HK\$1.5bn). If % basis: confirms holding at listing application date and throughout the 12-month pre-application period. If HK\$ basis: confirms subsequent divestments are explicitly excluded. [K] Checks the stated aggregate cross-checks arithmetically against individual Pathfinder SII holdings in the table. Verifies the aggregate matches Pathfinder SII holdings in the cap table. [L] Flags ambiguity about which alternative is the primary compliance basis if both are mentioned.	Critical
D3	Para 26(i)(b)	At least PARAM_D_COUNT_MIN Pathfinder SIIs must each individually hold $\geq$ PARAM_D3_IND_PCT of issued share capital (at listing application date and throughout 12 months), OR each have invested $\geq$ PARAM_D3_IND_AMT excluding subsequent divestments. [D] For each qualifying Pathfinder SII: confirms individual shareholding % or investment amount is disclosed. Confirms which Pathfinder SIIs are identified as the qualifying pair (or more). [T] Verifies each qualifying SII meets PARAM_D3_IND_PCT (3%) or each has otherwise invested PARAM_D3_IND_AMT (HK\$450m) in shares or securities convertible into shares. If % basis: confirms holding at listing application date and	Critical

		throughout the 12-month pre-application period. If HK\$ basis: confirms subsequent divestments are explicitly excluded. [K] Verifies individual qualifying holdings sum arithmetically to the aggregate in D2. Flags arithmetic inconsistencies. [L] Flags if per-SII figures are expressed on inconsistent bases — some pre-offer, others post-offer — within the same table.	
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Module E — Aggregate SII Investment Benchmark

Module E: Aggregate SII Investment Benchmark — Para 26(ii) — All SIIs combined must meet a market-cap-tiered threshold			
ID	Source / Trigger	Rule Statement & System Checks	Sev
E1	Para 26(ii)	All SIIs must hold, in aggregate, shares/convertible securities equivalent to the minimum % of issued share capital at listing, based on market cap tier (from P3) and Commercial/Pre-Commercial status (from P2). [D] Confirms: (a) expected market cap at listing; (b) Commercial or Pre-Commercial status; (c) aggregate SII shareholding % including pre-listing investments and listing allocations per para 32(i). Checks all three elements are presented together so the compliance calculation is traceable. [T] Using market cap tier from P3 and company type from P2, identifies the correct PARAM_E threshold. Verifies the disclosed aggregate SII % meets or exceeds the applicable threshold. [K] Verifies aggregate SII % in the SII section matches the cap table and Share Capital section. Checks individual SII holdings sum arithmetically to the disclosed aggregate. Flags any inconsistency. [L] Flags if the SII section and Share Capital section express percentages on different bases (pre-offer / post-offer / fully diluted), making comparison impossible without adjustment.	Critical
E2	Para 26(ii) table	Threshold table: < HK\$15bn — PARAM_E_COMM_LOW / PARAM_E_PRECOMM_LOW; HK\$15–30bn — PARAM_E_COMM_MID / PARAM_E_PRECOMM_MID; ≥ HK\$30bn — PARAM_E_COMM_HIGH / PARAM_E_PRECOMM_HIGH. [T] Verifies the correct tier using market cap from P3 and classification from P2. Confirms arithmetic: <HK\$15bn → 20%/25%; HK\$15–30bn → 15%/20%; ≥HK\$30bn → 10%/15%. Flags if the prospectus applies a lower threshold than required. [K] Verifies market cap used for tier selection is consistent with the Listing Statistics section and valuation implied by pre-IPO investment pricing. [L] If temporary modifications from 1 Sep 2024 (para 10) apply, checks the prospectus identifies and explains these modifications. Flags use of pre-modification figures without acknowledgment.	Critical

Module F — Convertible Securities

Module F: Convertible Securities — Paras 27–28			
ID	Source / Trigger	Rule Statement & System Checks	Sev
F1	Para 27 Trigger <i>Applies only if any SII holds convertible securities (warrants, notes, preference shares, or other instruments convertible into ordinary shares).</i>	Only investment in securities to be converted at or before listing counts toward the meaningful investment requirement. [D] For each SII holding convertible instruments: confirms which will be converted at or before listing and which will not. Confirms a conversion schedule or timeline is disclosed. [T] Flags any convertible instrument not confirmed to convert at or before listing that appears included in the SII holding calculation for threshold purposes. [K] Checks the conversion timeline is consistent between the SII section and any pre-IPO investment, convertible note, or preference share section. Flags discrepancies in conversion share counts or terms. [L] Checks a reader can identify which instruments qualify for the meaningful investment calculation without tracing across multiple sections.	High
F2	Para 28 Trigger <i>Applies only if any SII holds convertible securities that convert at or before listing.</i>	Must disclose the number of shares to be converted and the corresponding investment amount for each relevant SII. [D] For each converting instrument: confirms the number of conversion shares is disclosed as a specific integer and the corresponding investment amount is disclosed. [K] Verifies the disclosed conversion shares match the post-conversion share count in the cap table for the relevant SII. Checks the investment amount reconciles with the pre-IPO investment history. [L] Flags if the conversion share count is stated without the conversion price. Checks conversion terms (price, anti-dilution adjustments, basis for share count) are sufficient for independent verification.	High

Module G — Shareholding Fluctuations

Module G: Shareholding Fluctuations — Paras 29–31			
ID	Source / Trigger	Rule Statement & System Checks	Sev
G1	Para 29(i) Trigger <i>Applies only if any Pathfinder SII's shareholding fluctuated during the pre-application 12-month period (no top-up mechanism).</i>	Temporary dilution may be accepted if shareholding meets the threshold at listing application date AND on a 12-month average basis. [D] Confirms: (a) shareholding at listing application date; (b) 12-month average holding; (c) confirmation both meet applicable thresholds. Confirms the averaging methodology is stated. [T] Verifies both the listing application date holding and the 12-month average meet PARAM_D2_AGG_PCT (aggregate) and PARAM_D3_IND_PCT (individual) as applicable. [K] Checks the fluctuation history is consistent with investment and disposal dates in the pre-IPO investment section and cap table. Flags unexplained fluctuations appearing in one section but not another. [L] Flags if average holdings are stated without explaining the calculation methodology or observation periods.	High
G2	Para 29(ii)	Top-up mechanism requires: (a) dilution caused by other investors; (b) irrevocable commitment before listing application; (c) top-up completed before listing.	High

	Trigger <i>Applies only if a top-up mechanism is relied upon to cure a temporary dilution.</i>	[D] Confirms: cause of dilution identified; irrevocable commitment disclosed (parties, date, amount); completion before listing confirmed. [T] Verifies the irrevocable commitment was made before the listing application date. Checks this chronology is verifiable from disclosed dates. [K] Checks the top-up commitment is consistent with any obligations or use of proceeds disclosure. Flags if the top-up amount requires proceeds not identified in the Use of Proceeds section. [L] Flags any qualification of the "irrevocable" commitment — e.g., "subject to market conditions," "best efforts." Such language is inconsistent with irrevocability.	
G3	Para 30 Trigger <i>Applies whenever investment date is relevant to any timing calculation in Modules D or G.</i>	The investment date for para 26(i) purposes is the date of irrevocable settlement — not signing of subscription agreement or announcement. [D] Confirms investment dates are stated by reference to irrevocable settlement for each Pathfinder SII. [K] Checks investment dates are stated consistently as irrevocable settlement dates across: SII section; pre-IPO investment section; History of the Group. Flags any section referencing a different date event. [L] Flags investment dates expressed by reference to signing, announcement, or board resolution. This common drafting error systematically misstates the qualifying date and may create apparent — but not actual — compliance with the 12-month requirement.	Medium
G4	Para 31 Trigger <i>Applies only if holdings of different related entities are aggregated to meet Pathfinder SII thresholds.</i>	Holdings of different funds of the same manager, or wholly-owned entities of the same investor, may be aggregated as a single Pathfinder SII on a case-by-case basis. [D] Confirms: (a) relationship between aggregated entities disclosed; (b) shareholding structure of all entities disclosed; (c) investment decision-making process described. [R] Assesses whether the disclosure substantiates that aggregated entities constitute a single economic decision-maker (same fund manager making unified decisions, or same beneficial owner through wholly-owned subsidiaries). [K] Checks the aggregated structure is consistent with the corporate structure chart and cap table, which may show the entities as separate shareholders. [L] Flags if aggregation is assumed without explanation, or if the structure described does not clearly fit either limb of para 31.	High

Module H — Aggregate Benchmark Mechanics

Module H: Aggregate Benchmark Mechanics — Para 32			
ID	Source / Trigger	Rule Statement & System Checks	Sev
H1	Para 32(i) Trigger <i>Always applies where any SII receives listing allocations in addition to pre-listing investment.</i>	Pre-listing investments AND offer shares issued to SIIs at listing both count toward the Aggregate Investment Benchmark. [D] Confirms: (a) pre-listing SII investments and (b) offer shares issued to SIIs at listing are separately identified. Confirms both categories are included in the Module E aggregate calculation. [K] Checks SII allocations in the Cornerstone or Placing sections are consistent with SII shareholding figures in the SII section. Flags any SII in the Cornerstone section without corresponding SII section disclosure. Checks each SII's total post-listing holding is compatible with the prospectus. [L] Checks the combined calculation is presented so a reader can trace from individual SII holdings to the total aggregate without implied arithmetic. Verifies pre-listing and at-listing components are clearly labelled and distinguished.	High
H2a	Para 32(ii) Trigger <i>Applies only if the SII Placees mechanism is relied upon to meet the Aggregate Investment Benchmark.</i>	If pre-listing and cornerstone investments are insufficient, HKEX may allow SII Placees to satisfy the shortfall, subject to an undertaking from the applicant, overall coordinator, and sponsor disclosed in the listing document. [D] Confirms the undertaking from the applicant, overall coordinator, and sponsor is disclosed. Confirms the scope of the undertaking is described — specifically the threshold to be met and the mechanism by which SII Placees will satisfy it. [L] Flags undertakings that are vague as to parties, threshold, or mechanism. Flags if the identity of the parties bound is not specified.	Critical
H2b	Para 32(ii)(a) Trigger <i>Applies only if H2a is triggered.</i>	SII Placees must clearly fall within para 21 sophistication examples. [D] For each SII Placee: confirms sophistication basis is disclosed to the same standard as rules B1–C4. Confirms the SII Placee is identified with specificity (name, entity type, jurisdiction). [R] Checks each SII Placee clearly falls within one of the para 21 examples. Flags any SII Placee whose sophistication is asserted without a specific qualifying basis. [L] Checks SII Placees are clearly distinguished from ordinary placing investors. Flags generic descriptions that do not enable investor assessment.	Critical
H2c	Para 32(ii)(a) provision Trigger <i>Applies only if any SII Placee qualifies under para 21(iv).</i>	For SII Placees qualifying as key market participants under para 21(iv), relevant information must be submitted to HKEX in advance of the listing application. [D] Confirms the prospectus notes that relevant information for para 21(iv) SII Placees was submitted to HKEX in advance of the listing application. [L] Flags if this requirement is described as an at-listing or post-listing obligation rather than a pre-application submission. Flags if it is omitted entirely.	High
H3	Para 32(ii)(b) Trigger <i>Applies only if H2a is triggered.</i>	Allotment results announcement must confirm the Aggregate Investment Benchmark is met, disclose SII Placee identities and para 25 information, as of a date no more than 6 months before listing. [D] Confirms the prospectus anticipates and describes this post-listing disclosure obligation. Checks it states the allotment announcement will: (a) confirm whether the benchmark is met; (b) disclose SII Placee identities and para 25 information; (c) use information current as of a date no more than 6 months before listing. [L] Flags if the obligation is described as already satisfied in the prospectus (it is a post-listing obligation). Flags if it is omitted entirely.	Medium

Module I — Secondary / Dual Listings

Module I: Secondary / Dual Listings — Paras 33–34			
ID	Source / Trigger	Rule Statement & System Checks	Sev
I1	<i>Paras 33–34</i> ■ Trigger <i>Applies only if the applicant is already listed on a recognised overseas stock exchange.</i>	For already-listed applicants, HKEX may accept non-strict compliance with para 26 benchmarks. HKEX considers SII holdings before/at the overseas listing and at the Chapter 18C application date. [D] Confirms: (a) existing overseas listing disclosed (exchange, date); (b) SII holdings as of overseas listing date; (c) SII holdings as of Chapter 18C listing application date; (d) any non-compliance with standard para 26 benchmarks explained. [R] Assesses whether the prospectus explains the specific circumstances HKEX is being asked to consider, with a substantiated factual case for acceptance. A bare assertion of "special circumstances" is insufficient. [K] Checks corporate history and SII holding history is consistent between the Chapter 18C prospectus and any cross-referenced overseas exchange documents. Flags material inconsistencies. [L] Flags if non-compliance with standard para 26 benchmarks is disclosed only in technical language in an appendix, or framed so as to obscure that standard thresholds are not met. The prospectus must state plainly and prominently which thresholds are not met and on what alternative basis compliance is claimed.	High

4. MB Rule Cross-Reference

Maps primary MB Rule provisions to the modules and parameters that implement them. Unlike the v1 appendix, this table specifies the exact integration point in the rulebook so reviewers can trace from statutory rule to system check.

MB Rule	Content	Integration into Rulebook v2
18C.05	Applicant must have received meaningful investment from sophisticated independent investors.	Primary rule. Paras 16–34 operationalised in Modules 0–I.
18C.01	Definitions: Specialist Technology Company, Specialist Technology Industry, Commercial Company, Pre-Commercial Company.	Module 0 (P1, P2); Module B (B4, B5); Module E (E2 threshold table).
18C.03(3)	Min market cap: HK\$6bn (Commercial) / HK\$10bn (Pre-Commercial). Modified from 1 Sep 2024.	Module 0 (P3); Module E (E2). See PARAM_MKTCAP_COMM_MIN / PARAM_MKTCAP_PRECOMM_MIN.
18C.03(4)	Commercial Company revenue threshold: HK\$250m for the most recent audited financial year.	Module 0 (P2). See PARAM_COMM_REV_MIN. P2 verifies revenue figure and consistency of classification.

5. Reusability and Configuration Notes

Company Type Configuration. Before running the rulebook, resolve Module 0 outputs (P1, P2, P3) and store them as session-level configuration values: (a) Specialist Technology Industry; (b) Commercial or Pre-Commercial; (c) market cap tier and applicable PARAM_E thresholds. These values are passed to downstream modules.

Conditional Module Activation. The system evaluates each trigger condition before running the associated rules. If the trigger is not met, all rules under that trigger are marked Not Applicable and excluded from the findings report.

Parameter Updates. When HKEX amends any threshold, update the Parameters Table in Section 2 only. All module rules reference parameters by name; updated values cascade automatically.

Future Module Extensions. The modular structure supports addition of new rule modules without disrupting existing modules. Potential Phase 2 extensions: Module J (R&D expenditure requirement); Module K (path to revenue disclosure for Pre-Commercial Companies); Module L (peer benchmarking against prior Chapter 18C approved prospectuses).

— End of Document —